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China Economics

A Plateauing Inflation Path in 26H2E after Energy Shock?

CITI'S TAKE

CPI and PPI staged a small miss compared with expectations in June, but it came mostly from external factors including oil and gold prices. Domestic demand could have remained lackluster but largely stable, with supply conditions driving most of the volatility. For the whole quarter of 26Q2, nominal growth could rise further despite a real growth slowdown. We expect a plateauing path for inflation in 26H2E, with sporadic gains from AI inflation across CPI and PPI and a tentative stabilization of the pork cycle. Domestic demand could remain weak in [this K-shaped economy](#), yet targeted support along with supply-side efforts on anti-involution could capture the downside to prices, in our view. The upcoming Politburo meeting could offer more signals.

Xinyu Ji^{AC}

+852-2501-2792

xinyu.ji@citi.com

Xiangrong Yu^{AC}

+852-2501-2754

xiangrong.yu@citi.com

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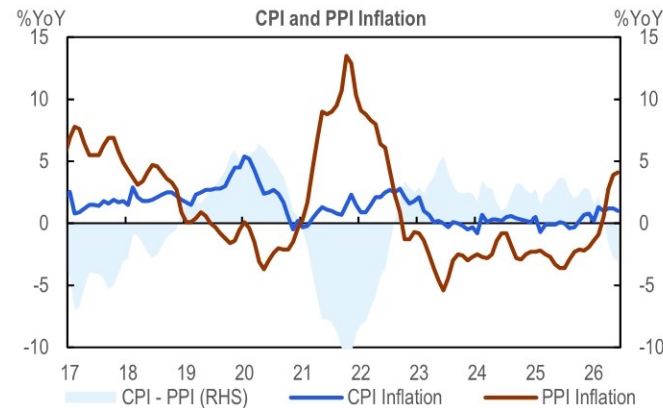
Inflation readings missed expectations in June as the energy shock faded. CPI edged down to 1.0%YoY (Citi/Mkt: 1.1%YoY) from earlier 1.2%YoY. Its sequential change was softer than seasonality at -0.3%MoM vs. an average of -0.2%MoM in the past three years. The small miss came from external factors of oil and gold. By major components,

- **Food prices** dipped -0.4%MoM in June and stayed largely unchanged at -1.6%YoY (vs. -1.7%YoY in May). Pork downcycle could be closer to its bottom, with sequential change at -0.8%MoM, the smallest contraction in four months. Most food prices were stable, with vegetables at -1.0%MoM (-0.3%YoY) and fruits at -2.0%MoM (-0.7%YoY). Egg prices rose sharply amid hot weather at 5.8%MoM (16.0%YoY). Extreme weather events as El Nino develops are starting to have a more visible impact on China, and it is likely that supply conditions over the summer drives more price volatility.
- **Energy prices** retreated as the oil shock faded. Prices dropped -4.5%MoM for transportation fuel, and its year-on-year change normalized to 15.3%YoY from 21.1%YoY in May, the first decline since the conflict. More downside is likely ahead in July with deeper adjustment of retail fuel prices, and year-on-year change could inch towards low single digits.
- **Core inflation** dipped to 1.0%YoY, with its sequential change at -0.1%MoM and in line with seasonality. [1] Core goods inflation eased further to 1.3%YoY per our estimate, the lowest reading in one year. Gold prices eased to -5.9%MoM and 28.1%YoY and are largely responsible for the miss in June combined with oil prices. Durable goods prices are mixed: telecom equipment CPI rose to 7.6%YoY, an all-time high amid AI inflation, while auto CPI stayed unchanged at -1.1%YoY and home appliances prices retreated to 2.2%YoY (vs. 3.4%YoY). [2] Services CPI was lackluster but steady at 0.0%MoM and 0.8%YoY before the travel season.

Sequential PPI turned negative with energy shock fading. PPI dropped -0.3%MoM, the first negative reading since July 2025, while its year-on-year reading continued to rise on base effect to 4.1%YoY (Citi/Mkt: 4.3/4.1%YoY).

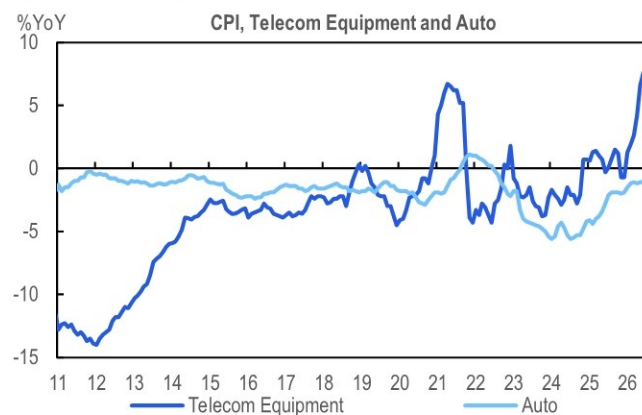
- **Mideast conflict:** We estimated that energy and chemical related sectors dragged 0.2ppts to sequential change of PPI of -0.3%MoM with Mideast conflict impact fading. With global oil prices easing in June, oil & gas extraction dropped -11.8%MoM and fuel processing declined -1.9%MoM in June, while chemicals eased -2.0%MoM.
- **Domestic energy prices:** Coal prices rose into the summer and partially offset the drag from global prices. PPI for coal extraction inched up to 5.6%MoM with its year-on-year change at 20.6%YoY after turning positive only three months ago. Coal prices could have had wider spillover to ferrous metal processing, whose PPI rose to 5.2%YoY.
- **AI inflation:** PPI for computer and other electronics mfg rose to 3.3%YoY, also an all-time high since 1996. Its momentum sustained with sequential change at 0.7%MoM, and 3M/3M annualized change at 7.9% in the past few months, hinting at further upside ahead. The NBS noted broad-based price hikes among electronics, with VR at 8.4%MoM, wearables at 3.4%MoM and industrial PCs at 3.3%MoM (NBS, Jul 9th).
- **Domestic demand:** demand weakness remains a concern, as auto PPI remained subdued at -2.1%YoY and non-metallic mining at -3.3%YoY. Seasonal demand drove air conditioner mfg prices up 0.4%MoM.

Figure 1. CPI and PPI posed a small miss in June mostly on external factors



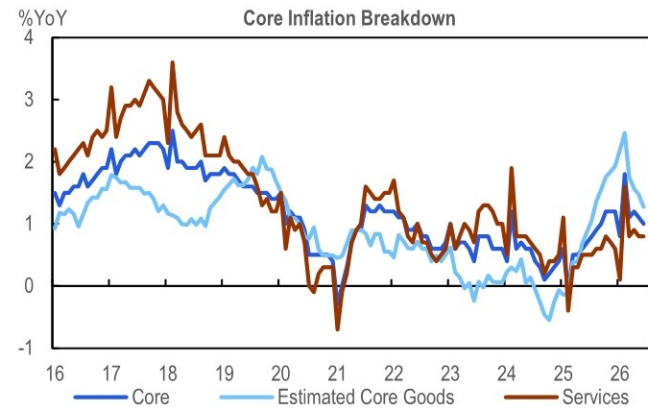
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Figure 3. Telecom equipment CPI rose to an all-time high amid AI inflation



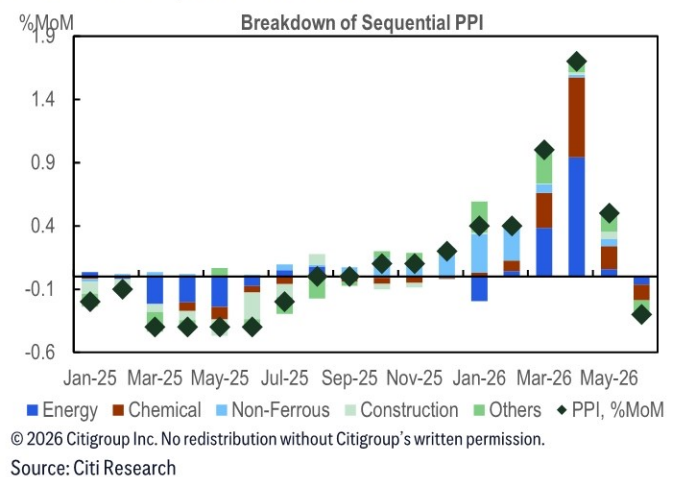
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Figure 2. Core goods prices eased further as soft demand met various supply conditions



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Figure 4. We estimate a drag of -0.2ppts from energy & chemical to sequential PPI in June



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Figure 5. Mideast conflict impact retreated for PPI, but domestic energy prices and AI inflation rose further

Sector			Deflation easing sequentially?	Consecutive months of PPI deflation	%YoY			3M/3M Annualized		
					Apr	May	Jun	Apr	May	Jun
Up	煤炭开采和洗选业	Coal mining and washing			3.1	10.0	20.6	6.1	22.8	52.1
Up	石油和天然气开采业	Petroleum and natural gas extraction			28.6	35.7	16.8	332.6	253.2	18.9
Up	石油、煤炭及其他燃料加工业	Petroleum, coal and other fuel processing			14.2	18.4	16.7	133.7	130.0	70.0
Up	黑色金属矿采选业	Ferrous metal mining			1.3	3.3	5.2	-5.1	1.6	4.1
Up	有色金属矿采选业	Non-ferrous metal mining			38.9	36.5	25.5	82.8	31.3	-21.4
Up	非金属矿采选业	Non-metallic mineral mining	Yes	20	-4.1	-3.4	-3.3	-0.4	3.7	0.0
Middle	电力、热力的生产和供应业	Electricity and heat production/supply		32	-4.2	-4.4	-4.4	-12.3	4.0	-5.1
Middle	燃气生产和供应业	Gas production/supply			-0.6	2.5	4.0	3.2	12.6	15.4
Middle	水的生产和供应业	Water production/supply			1.6	1.7	0.9	0.4	1.6	-1.6
Middle	黑色金属冶炼及压延加工业	Ferrous metal smelting			-1.1	1.0	3.1	4.1	8.7	9.2
Middle	有色金属冶炼及压延加工业	Non-ferrous metal smelting			22.5	24.0	23.4	25.6	9.6	4.9
Middle	金属制品业	Metal products			0.5	0.8	1.6	2.4	1.6	2.0
Middle	非金属矿物制品业	Non-metallic mineral products mfg	Yes	46	-5.5	-5.1	-4.4	-3.5	-5.1	-5.8
Middle	化学原料及化学制品制造业	Chemical			8.9	12.7	11.3	66.9	71.5	37.3
Middle	纺织业	Textile			0.2	1.1	1.5	4.9	7.9	6.6
Down	农副食品加工业	Agricultural products	Yes	38	-1.3	-1.4	-1.2	-1.2	-3.5	-4.7
Down	食品制造业	Food mfg		39	-1.6	-1.0	-1.0	0.4	3.2	1.6
Down	酒、饮料和精制茶制造业	Wine and beverage mfg		26	-2.9	-1.9	-5.3	-2.8	1.2	-12.3
Down	烟草制品业	Tobacco products			0.1	0.1	0.1	0.0	0.0	0.0
Down	纺织服装、服饰业	Textile and apparel mfg	Yes	17	-1.5	-1.4	-1.3	-3.5	-0.4	0.4
Down	木材加工及木、竹、藤、棕、草制品业	Wood and wood products		44	-2.3	-1.9	-1.9	-0.4	-0.8	0.0
Down	造纸及纸制品业	Paper and paper products	Yes	7	-1.2	-0.7	-0.1	-3.9	-0.8	0.4
Down	印刷业和记录媒介的复制	Printing		42	-2.7	-2.7	-2.8	-2.0	-1.2	-2.0
Down	医药制造业	Pharmaceutical mfg		30	-4.7	-4.5	-4.5	-4.3	-3.5	-3.5
Down	化学纤维制造业	Chemical fiber mfg			5.4	8.5	7.4	45.6	50.9	27.8
Down	橡胶和塑料制品业	Rubber and plastic products mfg			-1.3	0.5	1.4	8.3	16.3	15.8
Down	通用设备制造业	General machinery	Yes	42	-1.0	-0.9	-0.7	-1.2	-0.8	-0.4
Down	汽车制造业	Auto		46	-2.0	-2.0	-2.1	-2.4	-2.4	-0.4
Down	铁路、船舶、航空航天和其他运输设备制造业	Railway and other transportation	Yes	13	-0.3	-0.3	-0.2	0.0	0.0	0.0
Down	计算机、通信和其他电子设备制造业	Computer and other electronics			1.5	2.1	3.3	7.9	7.9	7.9

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Source: NBS, Wind, Citi Research

Nominal growth is set to rise further in 26Q2E. CPI averaged 1.1%YoY in the past quarter vs. 0.8%YoY in 26Q1, while PPI rose to 3.6%YoY vs. -0.6%YoY. GDP deflator could rise to 1½ ~2%, lifting nominal growth even as real growth slows – with our GDP forecast at 4.5%YoY for 26Q2E, nominal growth could still challenge the high rate since mid-2023.

We see a plateauing path for inflation in 26H2E. The miss in June for both CPI and PPI is mostly from external volatility, instead of further intensifying domestic weakness – on the former, the corrections seem to have been factored in the data. On the domestic side, stabilization of pork cycle could provide some relief to CPI, while AI inflation creates sporadic gains across CPI and PPI. Domestic demand could remain weak in [this K-shaped economy](#), yet targeted support along with supply-side efforts on anti-involution could capture the downside to prices, in our view. The upcoming Politburo meeting could offer more signals.

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